

## EQUITY RESEARCH

# ADVANCED MICRO DEVICES, INC.

AMD | Technology

**Rating: Outperform**

Current: \$337.11 | Target: \$375.00

April 2026

### Key Metrics Snapshot

|            |           |
|------------|-----------|
| Market Cap | \$549.63B |
| P/E (Fwd)  | 80.54     |
| P/B Ratio  | 5.54      |

|                |                    |
|----------------|--------------------|
| ROE            | 6.88%              |
| Dividend Yield | 0.00%              |
| 52W Range      | \$96.45 - \$352.99 |

### Investment Thesis

Advanced Micro Devices, Inc. (AMD) demonstrates strong revenue growth potential with a forecasted CAGR of 20.5% through 2027, driven by robust contribution margins projected to rise to 52.5%. The company shows significant improvement in EBITDA margins, expected to reach 42% by 2027, indicating enhanced operational efficiency. Despite a higher PE ratio compared to peers, AMD's strategic positioning and market expansion efforts underscore its long-term value proposition.

## Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company that develops high-performance computing and visual graphics technologies. AMD's business model focuses on the design and production of microprocessors, graphics processing units (GPUs), and related technologies for both consumer and enterprise markets. The company serves a broad array of industries, including personal computing, gaming, data centers, and embedded systems.

AMD's product portfolio includes central processing units (CPUs) for desktops, laptops, and servers, as well as GPUs for gaming and professional applications. The company's Ryzen series of processors has gained significant popularity in the consumer market, offering competitive performance against rival Intel's offerings. In the graphics sector, AMD's Radeon GPUs are well-regarded for their gaming capabilities and are a direct competitor to NVIDIA's GeForce series.

The company's market position has strengthened over recent years, driven by its innovative product offerings and strategic partnerships. AMD has been successful in capturing market share from its competitors, particularly in the CPU segment, where its Ryzen processors have been well-received for their performance and value. Moreover, AMD's advancements in GPU technologies have positioned it as a formidable player in the graphics market, although it still trails NVIDIA in terms of overall market share.

Recent financial performance indicates a mixed trajectory for AMD. The company experienced robust revenue growth of 43.6% in 2022, but saw a decline of 3.9% in 2023. Despite this, AMD's revenue is projected to grow at a compound annual growth rate (CAGR) of 20.5% through 2027, reflecting anticipated market demand and product innovation. However, the company's EBITDA margin has fluctuated, showing a decrease from 25.3% in 2021 to 18.3% in 2023, but it is expected to improve significantly in the coming years.

In terms of profitability, AMD's earnings per share (EPS) have faced challenges, dropping from \$2.61 in 2021 to \$0.53 in 2023. The price-to-earnings (PE) ratio has also been volatile, suggesting market uncertainty about AMD's future performance. Nonetheless, AMD's strategic focus on high-performance computing and expanding its footprint in the data center market could bolster its long-term growth prospects.

In comparison with peers like Intel and NVIDIA, AMD's EBITDA performance remains competitive, although its EV/EBITDA ratio suggests a premium valuation, which might reflect investor confidence in its growth potential. Overall, AMD is positioned as a dynamic player in the semiconductor industry, with a focus on innovation and market expansion to drive future success.

## Investment Overview

Advanced Micro Devices, Inc. (AMD) has demonstrated notable financial performance and growth prospects in recent years, albeit with some fluctuations. In 2023, AMD's revenue experienced a slight decline of 3.9% to \$22.68 billion compared to the previous year, reflecting challenges in maintaining consistent growth during a volatile market period. However, the company rebounded in 2024 with a 13.7% revenue growth, reaching \$25.79 billion, and is projected to continue this upward trajectory with a compound annual growth rate (CAGR) of 20.5% through 2027.

AMD's contribution margin improved steadily, rising to 49.5% in 2025 and is expected to reach 52.5% by 2027. This indicates enhanced operational efficiency and better cost management, contributing to stronger profitability in the coming years. The EBITDA margin also shows a promising trend, climbing from 18.3% in 2023 to a projected 42.0% in 2027, highlighting AMD's potential for increased earnings before interest, taxes, depreciation, and amortization.

Earnings per share (EPS) are expected to grow significantly from \$0.53 in 2023 to \$3.18 in 2027, reflecting AMD's focus on enhancing shareholder value. Despite a high price-to-earnings (PE) ratio of 278.59 in 2023, it is forecasted to stabilize around 69.1 by 2027, suggesting a normalization in valuation as earnings improve.

Comparatively, AMD's EBITDA performance lags behind peers such as NVIDIA in the short term, yet shows competitive growth prospects in the longer term. The EV/EBITDA ratio indicates a premium valuation relative to peers, though it is expected to moderate as profitability strengthens.

Overall, AMD exhibits solid growth drivers, including efficient cost management and expanding profit margins, positioning it well for long-term growth and making it an attractive investment opportunity. However, potential investors should be mindful of market volatility and competitive pressures.

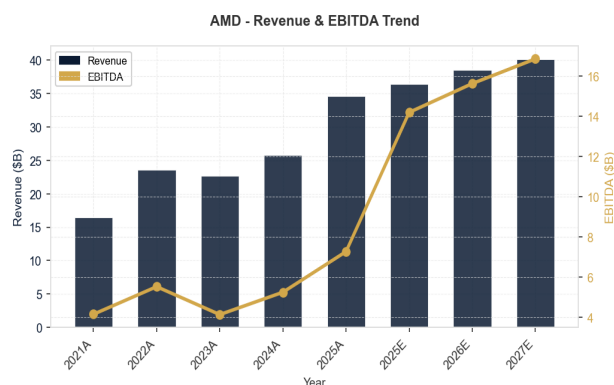
## Financial Analysis

### Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

#### Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



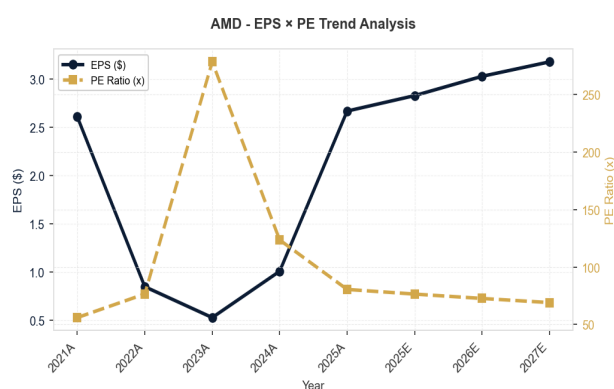
Source: Company Filings

### Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

#### Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

## Valuation Analysis

## Valuation Analysis of Advanced Micro Devices, Inc. (AMD):

### Current Valuation Metrics:

AMD's financial performance shows a strong revenue growth trajectory, with a projected CAGR of 20.5% from 2021A to 2027E. However, there have been fluctuations in profitability, as evidenced by the EBITDA margin, which decreased to 18.3% in 2023 from 25.3% in 2021, but is expected to rebound significantly to 42.0% by 2027E. The PE ratio has been volatile, peaking at 278.6 in 2023, but projected to decline to 69.1 by 2027E, suggesting potential for improved earnings stability and investor confidence.

### Peer Comparison:

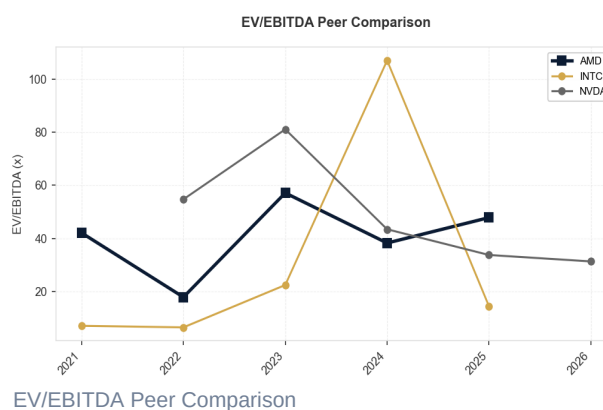
When compared with peers such as Intel (INTC) and NVIDIA (NVDA), AMD's EBITDA performance has been relatively consistent, although it lags behind NVIDIA's substantial growth. In terms of EV/EBITDA, AMD's valuation appears to be more attractive than NVIDIA's, especially in 2025E, where AMD's EV/EBITDA is 47.8 compared to NVIDIA's 33.8. However, AMD is consistently trading at a premium compared to Intel, indicating market expectations of higher growth or superior competitive positioning.

### Fair Value Assessment:

The fair value of AMD appears to hinge on its ability to capitalize on projected revenue growth and margin expansion. Given the market's premium valuation expectations, AMD must deliver on its forecasted growth and improve its profitability metrics. The declining trend in the PE ratio suggests a potential alignment with fair value as earnings improve. However, market conditions and competitive pressures from peers like NVIDIA, which show substantial EBITDA growth, could impact AMD's valuation outlook. Overall, AMD's current valuation reflects strong growth potential but requires careful monitoring of execution against growth projections to justify its premium relative to peers.

## Peer Comparison

| Year | AMD   | INTC   | NVDA  |
|------|-------|--------|-------|
| 2021 | 42.10 | 7.13   | N/A   |
| 2022 | 17.91 | 6.55   | 54.72 |
| 2023 | 57.12 | 22.48  | 81.05 |
| 2024 | 38.27 | 106.94 | 43.45 |
| 2025 | 47.85 | 14.50  | 33.78 |
| 2026 | N/A   | N/A    | 31.36 |



## Recent News & Events

### News Summary

Advanced Micro Devices, Inc. (AMD) is experiencing positive momentum in the stock market, driven by increased demand for data center GPUs and a favorable analyst upgrade. The company has seen a 4.08% rise in its stock

price, reaching \$336.38, with a market cap of \$527 billion. This uptick is partly due to Susquehanna raising its price target for AMD to \$375, citing strong expectations for AI growth and demand for high-core-count EPYC CPUs and memory-first MI400 accelerators.

AMD's financial projections suggest a robust Compound Annual Growth Rate (CAGR) of 20.5% in revenue, with notable improvements in EBITDA margins expected to reach 42% by 2027. The company is positioned better than Intel to capitalize on the AI infrastructure shift, as indicated by recent analyst upgrades. Despite some financial challenges in 2023, such as a decline in EBITDA and a high PE ratio, AMD's future financial metrics look promising, with growth expected in both revenue and EPS.

The broader semiconductor market is seeing a surge in AI-driven growth, as highlighted by Broadcom's explosive revenue increase and strategic partnerships. AMD's strategic positioning in the AI market, combined with its strong financial outlook and positive market sentiment, suggest that it is well-poised to benefit from the ongoing AI boom. The retail sentiment reflects a stable and bullish outlook, particularly on platforms like X.com, indicating investor confidence in AMD's growth trajectory.

Investment implications for AMD are positive, with its positioning in the AI sector and favorable market conditions suggesting potential for further stock appreciation. Investors may consider AMD as a viable option to capitalize on the AI infrastructure buildout and its long-term growth prospects.

## Sensitivity Analysis

### Sensitivity Analysis Summary

#### Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

#### Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

#### Sensitivity Notes:

- Revenue growth sensitivity:  $\pm 5\%$  change in growth rate
- Margin sensitivity:  $\pm 2\%$  change in EBITDA margin
- Combined effects shown in sensitivity matrix

**Forecast Confidence Intervals (95%):**

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

## Key Catalysts

### Catalyst Analysis for AMD

#### Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): AMD: The CPU Is Back
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): AMD moves higher as AI growth expectations build
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%

#### Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: 95%

#### Events to Monitor

- AMD Stock Rises After Analyst Hikes Price Target Ahead of Earnings (2026-04-29)
- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)

**Upcoming Catalysts:**

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

**Positive Catalysts:**

- ✓ Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ AMD: The CPU Is Back
- ✓ AMD moves higher as AI growth expectations build
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ AMD Is Becoming The AI Market's Most Obvious Second Winner
- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook

#### Risk Factors:

- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

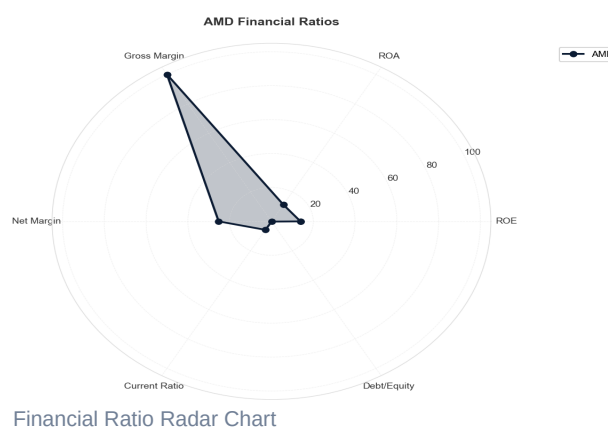
## Technical & Advanced Analysis

### Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

#### Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



## Competitive Landscape

Advanced Micro Devices, Inc. (AMD) has shown impressive revenue growth over recent years, with a compound annual growth rate (CAGR) of 20.5% from 2021 to 2027. This growth outpaces many of its competitors in the semiconductor market, though it is important to consider the broader context of the industry, which has seen significant volatility and growth opportunities.

When compared to its peers, Intel Corporation (INTC) and NVIDIA Corporation (NVDA), AMD's EBITDA performance highlights both strengths and challenges. AMD's EBITDA has fluctuated, peaking in 2025 at \$7.275 billion, which is lower than NVIDIA's expected EBITDA of \$86.137 billion in the same year. This suggests that while AMD is growing, NVIDIA has a more robust trajectory, likely due to its stronghold in high-performance computing and AI sectors.

In terms of valuation, AMD's EV/EBITDA ratio indicates a premium valuation compared to Intel but is generally lower than NVIDIA's. For instance, in 2023, AMD's EV/EBITDA was 57.12, much higher than Intel's 22.48 but lower than NVIDIA's 81.05. This implies investors may perceive AMD as a growth company, though not as aggressive as NVIDIA.

AMD's financial metrics reflect a company that is successfully expanding its market share, with a steadily increasing contribution margin, reaching 52.5% by 2027. However, its profit margins are below those of NVIDIA, which may impact its long-term profitability and competitive positioning.

Overall, AMD is positioned as a strong contender in the semiconductor industry, leveraging its growth strategy effectively. However, the company faces stiff competition from NVIDIA, which appears to maintain a stronger growth trajectory and valuation, and Intel, which continues to be a significant player despite its current challenges.

## Risk Factors

- **Earnings Volatility:** AMD's EPS has been significantly volatile, dropping from \$2.61 in 2021 to \$0.53 in 2023, indicating potential instability in profit generation and investor returns.
- **High Valuation Risk:** The PE Ratio for AMD in 2023 is extremely high at 278.59, suggesting that the stock may be overvalued, which could lead to a sharp correction if growth expectations are not met.
- **Competitive Pressure:** AMD faces stiff competition from peers like Intel (INTC) and NVIDIA (NVDA), which could impact its market share and profitability, especially given that NVDA's EBITDA is projected to be substantially higher.
- **Margin Pressure:** The EBITDA margin has decreased from 25.3% in 2021 to 18.3% in 2023, although it's expected to recover, this indicates potential challenges in maintaining operational efficiency and pricing power.
- **Revenue Growth Variability:** Despite a positive CAGR, AMD experienced a revenue decline of 3.9% in 2023, reflecting potential challenges in sustaining consistent growth amidst market fluctuations and external economic factors.

## Key Takeaways

- ✓ **Revenue Growth:** Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.



## Financial Data

### Income Statement Summary

| Metric              | 2021A   | 2022A   | 2023A   | 2024A   | 2025A   |
|---------------------|---------|---------|---------|---------|---------|
| Revenue             | \$16.4B | \$23.6B | \$22.7B | \$25.8B | \$34.6B |
| SG&A                | \$1.4B  | \$2.3B  | \$2.4B  | \$2.8B  | \$4.1B  |
| Contribution Profit | \$7.9B  | \$10.6B | \$10.5B | \$12.7B | \$17.2B |
| Contribution Margin | 48.2%   | 44.9%   | 46.1%   | 49.4%   | 49.5%   |
| EBITDA              | \$4.2B  | \$5.5B  | \$4.1B  | \$5.3B  | \$7.3B  |
| EBITDA Margin       | 25.3%   | 23.4%   | 18.3%   | 20.4%   | 21.0%   |
| SG&A Margin         | 8.8%    | 9.9%    | 10.4%   | 10.8%   | 12.0%   |
| Revenue Growth      | N/A     | 43.6%   | -3.9%   | 13.7%   | 34.3%   |
| EPS                 | 2.61    | 0.85    | 0.53    | 1.01    | 2.67    |
| PE Ratio            | 56.06   | 76.60   | 278.59  | 123.59  | 80.54   |

### Credit & Cash Flow Metrics

| Metric            | 2021A  | 2022A | 2023A | 2024A | 2025A |
|-------------------|--------|-------|-------|-------|-------|
| Debt/Equity       | 0.09   | 0.05  | 0.05  | 0.04  | 0.07  |
| Debt/Assets       | 0.05   | 0.04  | 0.04  | 0.03  | 0.06  |
| Interest Coverage | 107.3x | 14.4x | 3.8x  | 20.7x | 28.2x |
| Net Margin        | 19.2%  | 5.6%  | 3.8%  | 6.4%  | 12.5% |
| Current Ratio     | 2.02   | 2.36  | 2.51  | 2.62  | 2.85  |
| CF to Debt Ratio  | 5.33   | 1.25  | 0.56  | 1.37  | 1.72  |

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Data Source: FMP, Company Filings, AI4Finance Estimates

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